Business Overview

Meta Platforms, Inc. (Nasdaq: META)

2 September 2026

Evidence base: web sources only. No documents were supplied for this run. Built from Meta's FY2025 Form 10-K and Q4/FY2025 results release (28 January 2026), the Q2 2026 Form 10-Q, results release and earnings presentation (29 July 2026), the Q2 2026 earnings call, and independent industry sources including WPP Media, dentsu, EMARKETER, court filings and the filings of named competitors.

This is not a valuation and not a recommendation. It is an explanation of how the business works.

Post-period note: on 26 August 2026 Meta settled the multi-state youth-harm litigation. That settlement post-dates every filing used here and is described in Section 5.

1. Executive Snapshot

What the business is	A global advertising network. Meta gives away four communication apps to 3.60 billion daily users and sells attention on them, by auction, to millions of advertisers.
Industry	Digital advertising — worldwide ad revenue of roughly $1.3 trillion in 2026, of which digital is about 69% (WPP Media midyear 2026; dentsu Dec 2025).
How it makes money, in one sentence	It ranks an ad against a user, charges the advertiser only when the ad is delivered, and keeps the difference between what the auction clears at and the marginal cost of serving the impression.
Unit of economics	One daily active person. Each generated $16.86 of Family of Apps revenue and $6.53 of Family of Apps operating profit in Q2 2026 (Q2 2026 earnings presentation; profit per person computed from segment disclosure).
What protects it	Owned distribution at a scale no one else can rent, first-party behavioural data across four apps, and an auction deep enough that adding advertisers raises the clearing price. Not patents, and not — per the November 2025 antitrust ruling — market power.
What drives earnings	Ad impressions delivered (+14% year on year), average price per ad (+12%), and the cost of the compute used to rank both (capex 51% of revenue in Q2 2026).
What to watch	Depreciation catching up to capex; whether ad price growth persists once the 2026 event calendar passes; the engagement effect of the August 2026 teen-usage remedies.
Cycle exposure	Medium. Revenue is discretionary advertiser spend, but the cost base has just been converted from variable to fixed.

2. What the Company Does

The customer problem Meta solves is not the one its users have. Users want to talk to people they know and be entertained by people they do not, and Meta gives them four applications that do this for free. The customer — the party that pays — is an advertiser who wants to reach a specific person at a specific moment and cannot do it economically any other way. Meta sits between the two and is paid by the second to reach the first.

The unit of economics is one daily active person. In June 2026 there were 3.60 billion of them, up 3% year on year, defined as registered users who opened Facebook, Instagram, Messenger or WhatsApp on a given day. Each one generated $16.86 of Family of Apps revenue in the second quarter of 2026, against $13.65 a year earlier — a 23% increase in revenue per person while the number of persons grew 3%. Meta publishes this figure as average revenue per person, or ARPP.

Tracing one unit from production to cash

A person opens Instagram. The ranking system assembles a feed and reserves certain slots for ads. For each slot, an auction runs in roughly the time it takes the screen to draw: advertisers have standing bids expressed as an outcome they want — a purchase, an install, a lead — and Meta's models predict, for each candidate ad, how likely this specific person is to deliver that outcome. The ad with the highest expected value wins. The advertiser is billed for the impression or the action, on credit, and pays within weeks. Accounts receivable were $21.75 billion at 30 June 2026 against $60.80 billion of quarterly revenue, which is a collection cycle of about a month.

Two things follow from that description. First, the revenue is transactional rather than contracted: deferred revenue was only $1.16 billion at 30 June 2026, so there is essentially no backlog and no visibility beyond the quarter. Second, the marginal cost of one more impression is the compute needed to rank it, which is why the whole economic argument of the business now runs through the infrastructure line.

Where the money actually comes from

Advertising was $196.18 billion of $200.97 billion of FY2025 revenue — 97.6% of the company. Meta reports two segments. Family of Apps, which is Facebook, Instagram, Messenger and WhatsApp, produced $60.37 billion of revenue and $23.39 billion of operating income in Q2 2026. Reality Labs, which is the hardware business, produced $431 million of revenue and a $4.62 billion operating loss.

Inside Family of Apps a second, much smaller line is growing quickly. Family of Apps other revenue reached $1.01 billion in Q2 2026, the first time it has passed a billion in a quarter, up 73% year on year on WhatsApp paid messaging and subscriptions. That line matters out of proportion to its size because it is the first evidence that WhatsApp — a product with an all-time record of 30 million messages per second during the World Cup final and almost no monetisation history — can be charged for.

Reality Labs has changed character without changing name. Revenue grew 16% in Q2 2026 on AI glasses, offset by falling Quest headset sales; management has said roughly 70% of the segment’s 2026 operating expenses go to wearables. The division has lost about $92 billion cumulatively since 2020 and Meta guides to a 2026 loss similar to 2025’s $19.19 billion. For an investor, Reality Labs is best read as a fixed annual charge of roughly $19 billion levied against the advertising business, currently buying an option on glasses rather than on virtual reality.

3. Industry, Competitive Position & Moat

The advertising industry exists because attention is scarce, perishable and impossible to store. What is actually sold is a probability: the chance that showing this message to this person now changes what they buy. The value chain runs from the advertiser through agencies and demand-side platforms to whoever owns the surface where the ad appears, and the profit pool has migrated decisively to the surface owners, because they alone hold the identity data that makes the probability estimable.

Global advertising revenue should reach roughly $1.3 trillion in 2026, growing 8.9% excluding US political spend — an upgrade from the 7.1% WPP Media forecast in December, with US growth revised to 11.9%. Digital accounts for about 69% of total ad investment. Within digital, three companies take 62.3% of worldwide spend.

The structural event of 2026 is that Meta is forecast to pass Google. EMARKETER projected in April 2026 that Meta will reach $243.46 billion of net worldwide ad revenue against Google's $239.54 billion, a 26.8% share against 26.4% — the first time in the history of digital advertising that Google has not been first. The mechanism is growth rate, not scale: Meta accelerating from 22.1% to 24.1% while Google holds at 11.9%. The quarterly numbers corroborate the direction. In Q2 2026 Meta's advertising revenue grew 27%, Amazon's advertising services grew 26% to $19.81 billion, and Google Search and other advertising grew 17% to $63.30 billion.

Which barriers actually bind

Three do. The first is owned distribution: Meta reaches 3.60 billion people daily on surfaces it controls, so it never pays traffic acquisition costs to a gatekeeper, which is a cost line Google carries and Meta does not. The second is auction depth. An auction with millions of bidders clears higher than one with thousands, and each new advertiser raises the price paid by every existing one at no incremental cost to Meta — the clearest network effect in the business. The third is first-party signal generated by four apps that people use as communication infrastructure, which produces behavioural data no third-party data broker can replicate.

Two commonly cited barriers do not bind. Switching costs for advertisers are low: campaigns move between platforms in days, which is why performance, not lock-in, determines share. And Meta does not hold market power in the legal sense. On 18 November 2025 Judge James Boasberg ruled that the FTC had failed to prove Meta currently holds a monopoly, widening the relevant market to include TikTok and YouTube and finding that Meta faces fierce competition from both. The FTC is appealing. The ruling removed an existential divestiture risk, but investors should notice the price of that win: Meta's own successful legal argument was that its competitive position is contested.

Named competitors and what changed in 2026

Alphabet remains the largest single rival and is defending search economics against AI answers; Amazon is the fastest-growing threat, sitting on purchase intent that Meta must infer. TikTok, which the FTC court identified as Meta's fiercest rival, resolved its US ownership question on 22 January 2026 when ByteDance closed the transfer of TikTok's US operations into a majority-American joint venture with Oracle, Silver Lake and MGX. Meta spent two years benefiting from TikTok's uncertainty; that benefit has now ended.

The industry research points to a clear answer on what kind of company wins here: one that owns global-scale distribution it does not rent, generates its own first-party signal, runs a self-serve auction deep enough to price long-tail demand, and has the capital to keep improving its ranking models. Meta is the purest example of that type in the market. The open question is not whether it is the right kind of company but whether the capital intensity now required to stay that way leaves an adequate return.

4. Growth Engine

Revenue grew 28% in Q2 2026 to $60.80 billion, and 30% across the first half to $117.11 billion. Almost all of that decomposes into two published numbers: ad impressions delivered rose 14% and average price per ad rose 12%, which compounds to the 27% advertising growth reported.

Reported growth and organic growth are the same thing here, and that is worth stating plainly because it is unusual at this scale. Meta spent $474 million on acquisitions of businesses and intangibles in the first half of 2026 against $117.11 billion of revenue. Goodwill fell over the period rather than rose, because $1.27 billion was reclassified to held-for-sale. There is no acquired revenue in the growth rate. Currency contributed roughly one point in Q2 — revenue grew 27% on a constant-currency basis — and management guides to currency becoming a one-point headwind in Q3.

Drivers, ranked

- **Ad price, +12% year on year — structural, with a cyclical component.** Price rises when the models predict outcomes better, because advertisers bid to a target return and better prediction lifts what a given bid is worth. But price also rises when the ad market is strong, and 2026 is strong: WPP Media revised US growth up to 11.9%. Both are operating; no public source separates them.
- **Ad impressions, +14% — partly structural, partly management-driven and finite.** Daily active people grew only 3%, so most impression growth came from engagement per person and from what Meta calls ad load optimisations. Engagement gains are durable; ad load is a lever with a floor on user tolerance and no disclosed headroom.
- **Geographic mix — structural.** On a user-geography basis, revenue grew 32% in the US and Canada and 36% in Rest of World in Q2 2026, against 19% in Asia-Pacific. Rest of World grows from a low revenue-per-person base, so it adds impressions faster than dollars; the US adds dollars.
- **New paid surfaces — structural but immaterial today.** Family of Apps other revenue grew 73% to $1.01 billion, from WhatsApp paid messaging and subscriptions. At 1.7% of revenue it changes nothing this year. It is the main evidence for the argument that Meta has surfaces it has not yet charged for.
- **Reality Labs, +16% to $431 million — temporary as a growth driver.** AI glasses are selling faster than management expected, but 0.7% of revenue against a $4.62 billion quarterly segment loss means the division is a cost centre with an option attached, not a growth engine.

What is conspicuously not in this list is user growth. Meta has effectively stopped adding people and is instead extracting more from the people it has. That is a mature-network pattern, and it makes the price line the whole story: if average price per ad stops compounding at low double digits, there is no volume lever large enough to replace it.

5. Margin, Cash & Capital Allocation

Meta's margin structure used to be simple. Serving an ad cost almost nothing once the network existed, so revenue growth dropped through to operating income and the company earned a 41% operating margin on $201 billion of FY2025 revenue. That arithmetic is being rewritten in real time.

In Q2 2026 the operating margin was 31%, down from 43% a year earlier, on revenue that grew 28%. Total expenses grew 55%. Two items were one-off: $2.40 billion of charges related to legal proceedings and $1.18 billion of severance for the May 2026 reduction of about 8,000 roles. Excluding both, Meta states operating income would have risen 9% year on year. That is the honest read of the quarter — but 9% operating income growth on 28% revenue growth is still severe operating deleverage, and the cause is not one-off.

Research and development was 36% of revenue in Q2 2026, against 27% a year earlier. Within the cost base, the two fastest-growing lines are depreciation and compensation. Depreciation and amortisation reached $6.36 billion in the quarter, up 46%, with servers and network assets alone accounting for $4.62 billion against $3.12 billion a year earlier. Share-based compensation reached $7.66 billion, up 58%, driven by AI hiring. Meta also disclosed a new cost category on the Q2 call: third-party AI token costs, meaning it is buying inference from others while building its own capacity.

US$ billions	FY2023	FY2024	FY2025	H1 2026
Revenue	134.9	164.5	201.0	117.1
Operating margin	35%	42%	41%	36%
Reality Labs operating loss	(16.1)	(17.7)	(19.2)	(8.6)
Capex, incl. finance leases	28.1	39.2	72.2	50.9
Free cash flow	43.0	52.1	43.6	13.2
Share repurchases	19.8	30.1	26.2	nil

Notes on comparability. FY2025 net income and the effective tax rate are distorted by a one-time $15.93 billion charge on enactment of the One Big Beautiful Bill Act; excluding it the FY2025 rate would have been 13% rather than 30%. H1 2026 is a six-month figure and is not comparable in absolute terms to the annual columns; it also contains an $8.03 billion tax benefit booked in Q1 2026 under CAMT transitional relief. Operating margin for H1 2026 includes the Q2 legal and severance charges.

The cash picture

Free cash flow was $784 million in Q2 2026, against $8.55 billion a year earlier. Operating cash flow was healthy at $31.86 billion and rose 25%; the collapse is entirely on the investing side, where capital expenditure including finance leases reached $31.08 billion in the quarter — 51% of revenue. For context, capex intensity was 22% in Q2 2024. Guidance is $130–145 billion for full-year 2026, narrowed upward from $125–145 billion, with management citing higher component pricing.

A large part of the bill has not reached the income statement yet. Construction in progress stood at $80.35 billion at 30 June 2026, up from $50.52 billion at the end of 2025, and assets under construction do not depreciate. Reported margin therefore currently reflects a fraction of the capital already committed.

The commitments extend well beyond the balance sheet. Leases signed but not yet commenced totalled $278.99 billion at 30 June 2026, running from 2026 to 2036 with terms of up to 30 years, with more added in July. Meta holds a 20% interest in a Louisiana data-centre venture with roughly $27 billion of estimated development cost, a $12.31 billion lease commitment beginning in 2029 and residual value guarantees with a threshold of about $28 billion; its stated maximum exposure to loss on that venture alone is $46.03 billion. A further $10.80 billion of cash sits in escrow under multi-year infrastructure purchase agreements, released between 2028 and 2030.

Where the cash has gone, ranked

Across FY2025 and the first half of 2026 the ranking is unambiguous: capital expenditure ($72.22 billion then $50.92 billion), buybacks ($26.25 billion then nothing), non-marketable equity investments ($18.33 billion in FY2025), and dividends (about $1.35 billion a quarter, maintained). Debt went the other way: the face value of senior notes rose from $59.00 billion at the end of 2025 to $84.00 billion at 30 June 2026, after a $25 billion six-series issue in May 2026 at coupons of 4.55% to 6.45%.

The behaviour is clearer than any statement of strategy. Meta bought back no stock at all in Q4 2025 or in the first half of 2026, after $26.25 billion in FY2025, while raising $55 billion of debt in eight months and holding the dividend. Management has said explicitly that it is willing to use more debt and strategic partnerships to fund long-duration infrastructure. A company that stops repurchasing its own equity and starts issuing 30-year paper is telling you it believes the return on the next data centre exceeds the return on its own shares.

Post-period: the August 2026 settlement

On 26 August 2026, mid-trial in the multi-district youth-harm litigation before Judge Yvonne Gonzalez Rogers in the Northern District of California, Meta settled with a bipartisan coalition of state attorneys general. Reported headline values differ across accounts — between roughly $16.7 billion and $18 billion — with approximately $12 billion payable regardless and the remainder conditional on YouTube and TikTok adopting comparable safety measures, spread over ten years. Meta expects to accrue approximately $10 billion of legal expense in Q3 2026 and has said this was not contemplated in the expense guidance issued in July, while all other guidance ranges are unchanged. This post-dates every reported figure in the table above.

6. Cyclicality, Constraints & What to Monitor

Advertising is discretionary spend that advertisers can cut within a quarter, which historically made Meta cyclical on the revenue line but resilient on the cost line, because its costs were largely people and its infrastructure was sized to the traffic it already had. That symmetry has gone. The revenue remains as cancellable as ever while the cost base has been converted into depreciation schedules, 30-year leases and residual value guarantees that do not care what advertisers do next quarter.

Where the business sits in its cycle right now

On volume and price, at or near a high. Revenue growth accelerated from 22% in FY2025 to 30% in the first half of 2026; average price per ad has risen 12% in each of the last two quarters against 6% in Q4 2025; impressions are growing 14%. The market itself is accelerating, and WPP Media revised its 2026 global forecast upward in June.

On margin, well below peak. The Q2 2026 operating margin of 31% compares with 48% in Q4 2024 and 41% for FY2025. On free cash flow, at a trough: $784 million in the quarter against $8.55 billion a year earlier and $52.10 billion for the whole of FY2024. This is the unusual combination — a record top line and near-record operating conditions coinciding with margin and cash flow at multi-year lows — and it is entirely a function of deliberate spending, not of demand.

The downside case does not need an advertising recession to bite; it needs advertising growth merely to normalise. If global ad growth reverts from 8.9% toward the mid-single digits that dentsu forecast in December, and Meta's price per ad decelerates with it, revenue growth could halve while depreciation from the 2025–26 capex programme steps up regardless. Meta has never operated with this cost structure in a weak ad market; there is no historical analogue in its own accounts.

Durable versus borrowed

Durable — likely still true in ten years	Borrowed — currently helping
3.60 billion daily users across four apps that people use as communication infrastructure, not entertainment.	A cyclical upswing in advertising: WPP Media raised its 2026 global forecast from +7.1% to +8.9% in June, and US growth to +11.9%.
A self-serve auction with millions of bidders, where added demand raises the clearing price without added cost.	A 2026 event calendar — World Cup, Winter Olympics, US midterms — that inflates the comparison base for 2027.
First-party behavioural signal across Facebook, Instagram, Messenger and WhatsApp, generated by owned surfaces rather than bought.	Ad load increases, which contributed to +14% impression growth against only +3% user growth and cannot repeat indefinitely.
A balance sheet that can fund a $130–145 billion capex year without a rights issue.	A depreciation lag: $80.3 billion of construction in progress is not yet being depreciated.
WhatsApp as a barely-monetised surface: Family of Apps other revenue passed $1 billion a quarter for the first time, up 73%.	Tax noise, including the $8.03 billion CAMT benefit booked in Q1 2026.

What to monitor

Indicator	Where published	What it tells you
Ad impressions and average price per ad	Quarterly earnings release, investor.atmeta.com	Separates volume from pricing. Price decelerating while impressions accelerate means ad load, not demand.
Depreciation of servers and network assets	Property and equipment note, 10-Q / 10-K	The single best read on how much of the capex bill has reached the income statement. $4.62bn in Q2 2026.
Construction in progress	Property and equipment note, 10-Q / 10-K	What has been paid for but is not yet depreciating. $80.3bn at 30 June 2026.
Family daily active people and ARPP	Quarterly earnings presentation	Whether the teen-usage remedies show up in engagement from Q4 2026.
Leases not yet commenced	Commitments and contingencies note, 10-Q / 10-K	The fixed obligation building off balance sheet. $279.0bn at 30 June 2026.
Global and US ad revenue growth	WPP Media This Year Next Year; dentsu; Magna	Distinguishes Meta share gain from a rising market.

7. Risks, Unknowns & Questions for Deeper Work

- **The teen-usage remedies reduce the input, not just the profit.** The August 2026 settlement requires a two-hour cumulative daily limit for teens across Facebook and Instagram, disableable only with parental permission; blocked access between midnight and 6am; notifications muted during school hours; a non-algorithmic feed option; autoplay disabling; and like counts hidden by default. Every one of those reduces sessions or reduces the ranking signal inside a session. Impressions are 14 points of a 27-point ad growth rate, and this removes some of them by court order rather than by competition.
- **Depreciation is a bill already paid, arriving later.** Unlike headcount, depreciation cannot be cut in response to weak revenue — the cash left years earlier. With $80.35 billion in construction in progress and $130–145 billion of 2026 capex, the depreciation line has years of programmed increases embedded in it. If revenue growth normalises before that schedule matures, margin compresses on both blades at once.
- **Off-balance-sheet obligations convert a flexible business into a fixed one.** $278.99 billion of leases not yet commenced, plus roughly $28 billion of residual value guarantees on the Louisiana venture, are contractual regardless of ad demand. The Louisiana structure is deliberately non-consolidated because Meta is not the primary beneficiary, yet Meta discloses maximum exposure to loss of $46.03 billion on it. An investor reading only the consolidated balance sheet will understate the fixed cost of this business.
- **Single-product concentration compounds every other risk.** Advertising was 97.6% of FY2025 revenue. Meta is financing a multi-year infrastructure programme, servicing $84 billion of debt and absorbing a $19 billion annual Reality Labs loss from one revenue line, sold to one buyer type, on a spot basis with no backlog.
- **European signal degradation is a slow leak on a quarter of revenue.** Europe was 24% of Q2 2026 revenue on a user-geography basis. Following the €200 million DMA fine in April 2025, Meta began rolling out its Less Personalized Ads option in January 2026 after the European Commission acknowledged the revised model. Every user who takes it moves from behavioural to contextual targeting, which lowers the predicted outcome rate and therefore what advertisers will bid.
- **The antitrust win is not final.** The FTC has appealed the November 2025 ruling. A reversal would revive divestiture exposure over Instagram and WhatsApp, and Instagram is the surface carrying the current growth.

What the sources could not answer

These are findings, not gaps in the research. Each would need to be resolved before forming a thesis:

- The split between maintenance and growth capital expenditure is not disclosed, so no one outside the company can compute a maintenance free cash flow. On a $130–145 billion programme this is the single largest analytical hole.
- No return metric on AI infrastructure is disclosed — no revenue per unit of compute, no incremental margin on ranking improvements, no payback period. Management asserts the investment is working; there is no published number that tests it.

- The useful-life assumption applied to servers and network assets in 2026 was not established from the sources read. Given that servers and network depreciation is now $4.62 billion a quarter and rising, a change in that assumption would move reported margin materially.
- No public source separates AI-driven ad performance gains from the cyclical strength of the 2026 ad market. Both are demonstrably present; their relative weight determines whether 24% growth is repeatable in 2027.
- Advertiser concentration was not established. Whether any advertiser or vertical — AI-native companies in particular, which WPP Media identifies as a major source of 2026 ad growth — exceeds 10% of revenue is unknown from the sources read.
- Current ad load and remaining headroom are not disclosed, so the durability of the impression growth lever cannot be assessed.
- The allocation of the $2.40 billion Q2 2026 legal charge across specific matters is not disclosed, nor is it stated whether the $10 billion Q3 charge will sit within the Family of Apps segment.

8. Investor Takeaways

- Meta is an attention auction with 3.60 billion daily participants, monetised at $16.86 per person per quarter and now carrying a data-centre construction programme roughly the size of a major utility.
- The economic engine is price per impression, not people: users grew 3% while revenue per person grew 23%, so ad pricing carries the whole growth rate.
- The main growth lever for 2026 is better outcome prediction feeding a stronger auction — and, for the first time, the company that forecasters expect to end the year larger than Google in advertising.
- What could break the story is not competition but arithmetic: capex at 51% of revenue, $279 billion of uncommenced leases and a depreciation schedule that keeps stepping up whether or not ad growth normalises from an unusually strong 2026.
- Monitor price per ad against impressions, and servers-and-network depreciation against construction in progress. Those two pairs describe the entire investment case.